



Is College Still Worth the Cost?

Choosing the right path in 2017

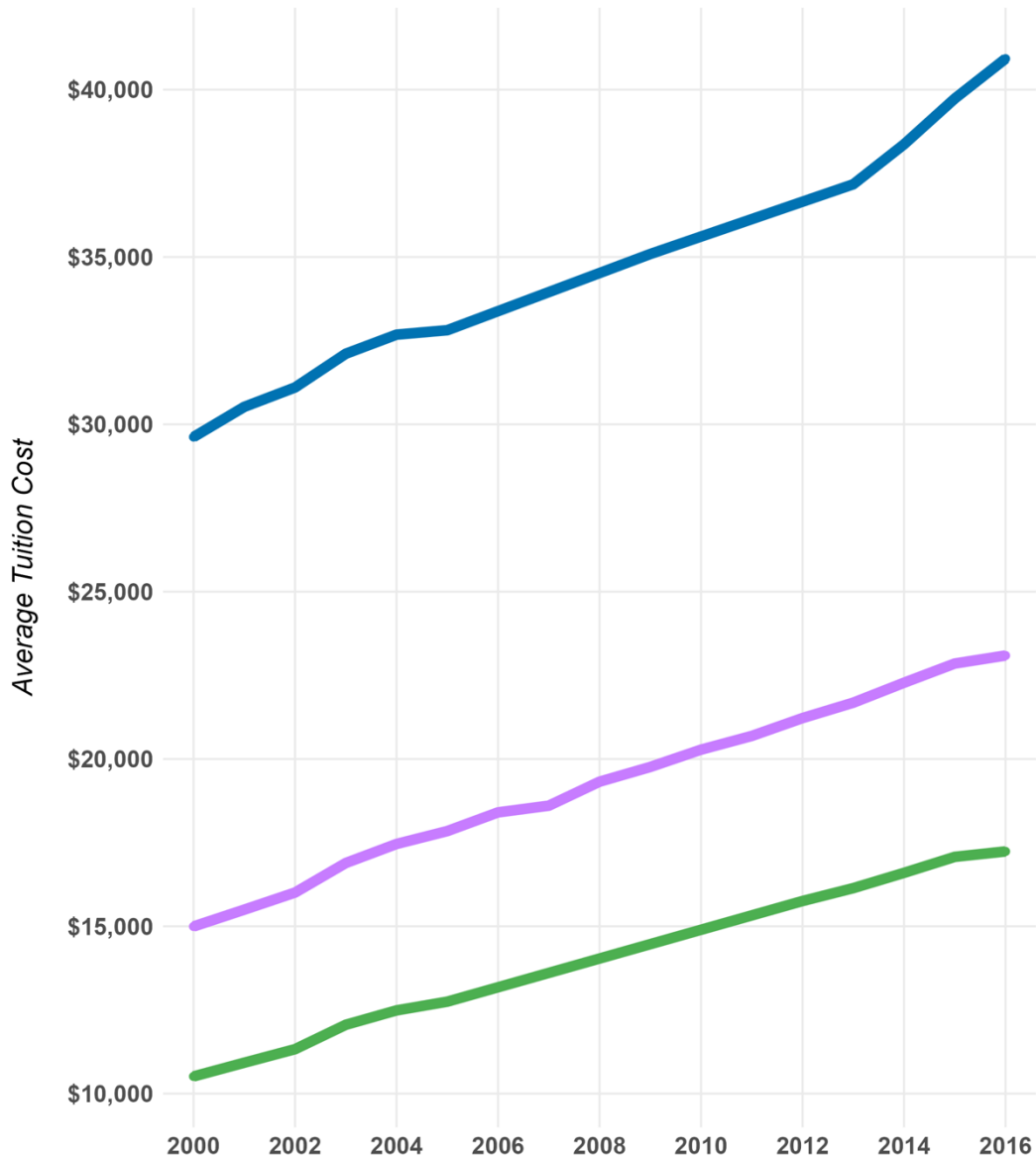
By Josh Seagreaves



College Tuition Has Significantly Outpaced Inflation

American institutions from 2000 to 2016 in constant inflation-adjusted dollars

Institution Type: All Institutions Private Public



Overall, real tuition costs increased by over 50% from 2000 to 2016

➤ *Nominal costs have risen even more*

Private schools tend to be much more expensive than public schools

➤ *Yet both are increasing rapidly*

In 2016, the average college in the U.S. cost \$23,091 per year

➤ *For the same price, you could buy an average used car every year*

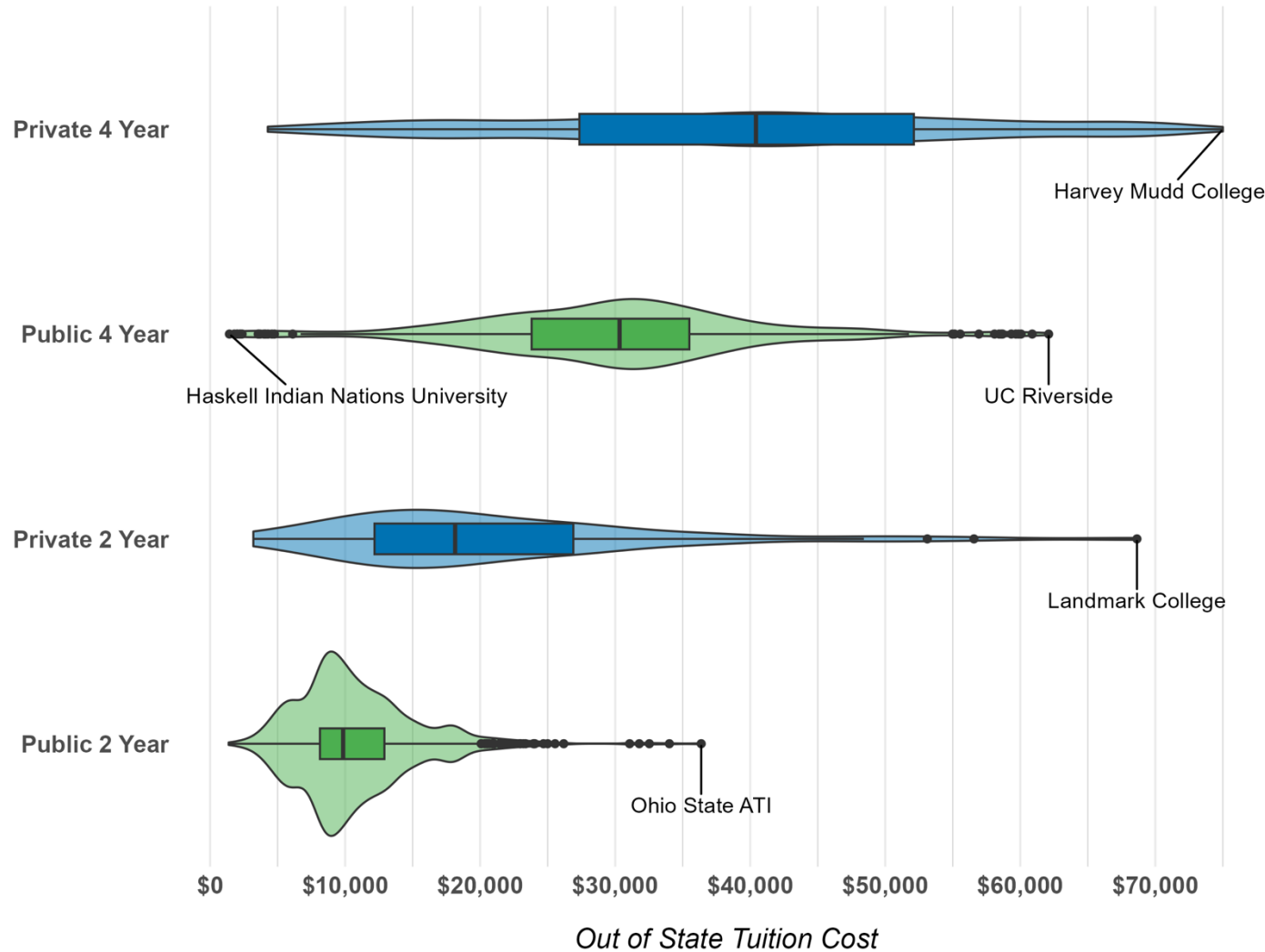


However, this cost
isn't uniform...



Tuition Cost Varies More Among Private Schools

2017 Data for Not-for-Profit Institutions



Private schools have massive variation in cost

➤ *A 4-year private school could cost you anywhere from under \$5,000 to over \$75,000 per year*

2-year public schools are the most affordable and predictable

➤ *Most are clustered around \$10,000 per year, with few outliers*



But do you get your
money's worth?



Higher Tuition Corresponds to Higher Early-Career Earnings

2016 Data

Private Public



More expensive tuition often translates to higher pay

- *The correlation is stronger for private schools, but public schools have better ROI overall*
- *Better ROIs are down and to the right – i.e., higher pay for lower tuition*

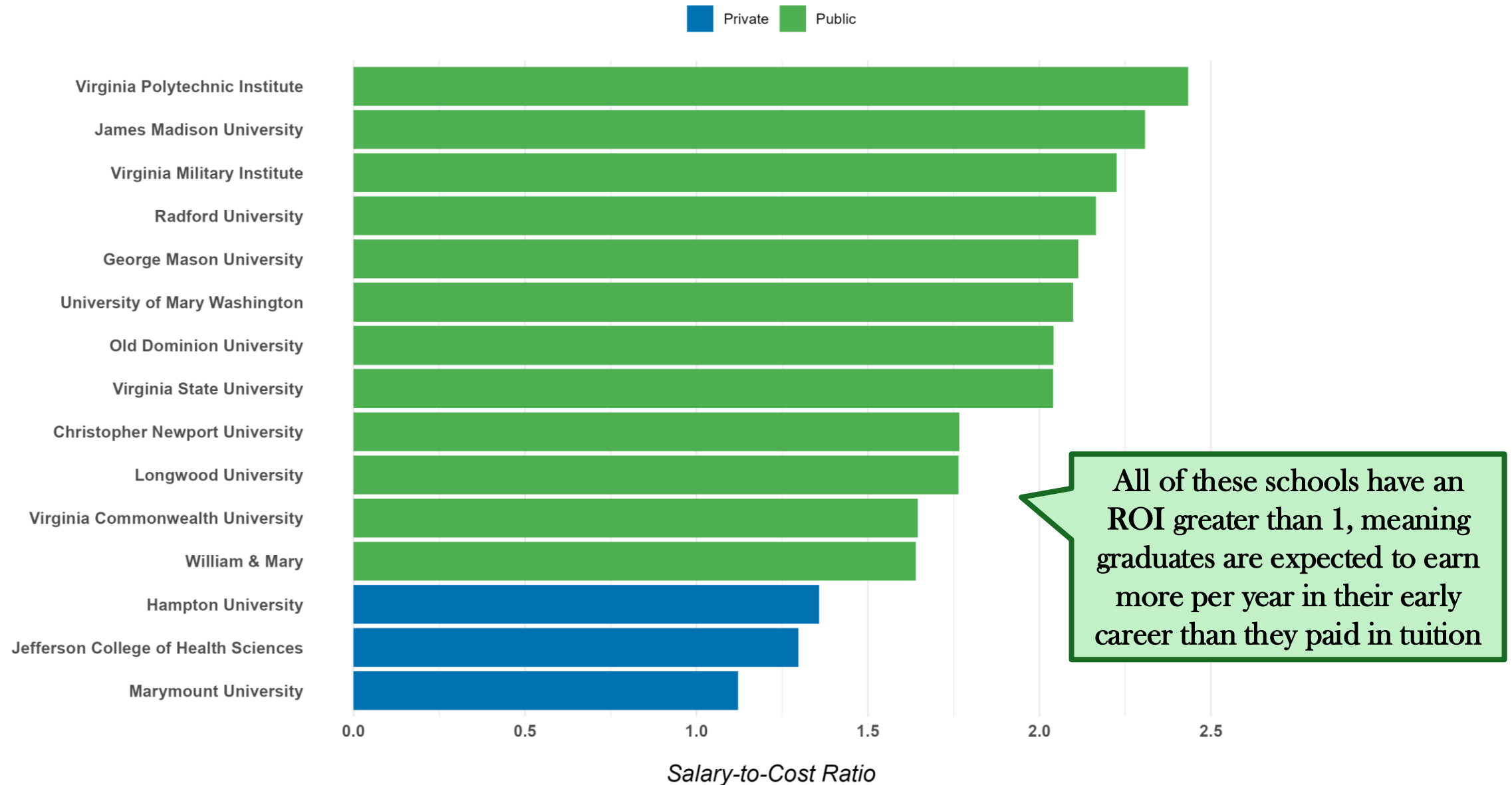


So, where should I go
for a good ROI?



Best Virginia Colleges for Return on Investment

Calculated as the ratio of expected early career pay to tuition cost (2016 Data)





Recommendations

If you want...	Then you should look at...
The cheapest option	2-year public schools
The highest possible earnings	4-year private schools
The best return on investment	In-state public schools

Bottom Line:

- College is getting disproportionately more expensive over time
- What you can expect to earn is related to how much you pay
- There is wide variation in cost and return– every school is different

Everyone has different goals and preferences.

Choose the path that is right for *you*

